

Amidst the pandemic, VBL embarked on a significant capex cycle, prioritising infrastructure expansion for last-mile delivery and retail storage. This, coupled with agile execution of business and product strategies, propelled sales to record highs in 2022, notes Jaipuria.

Jaipuria shares the credit of VBL's success with his father, Ravi Jaipuria, the Promoter and Chairman of VBL. "He has tremendous risk-taking abilities. So, when everyone else was cutting down on spending, my father went on a capex spree during 2020 and 2021. And being a large bottling partner, in comparison to the frag-

mented model followed by our competitors, we could execute the plans much faster," Jaipuria tells *Business Today*. Since its acquisition of the additional PepsiCo India territories, the company has added nearly 13 new plants in India, taking the number to 33.

Interestingly, while Coca-Cola has been traditionally leading the local market with its product and pricing strategy, VBL took the lead by tweaking its strategy. It introduced 1.5 litre and 400 ml packs at competitive prices, thereby helping it turn the tables.

"We thought, why don't we come up with a new strategy and become the leader. So, the change in pack pricing also gave us a lot of traction," he says.

Jaipuria also recognised the untapped opportunities in rural areas, particularly with the enhanced road and electricity connectivity. The upgraded road network facilitated increased access to remote regions at reduced costs, while the improved electricity supply in rural areas across northern India enabled the company to deploy its freezers in retail outlets previously hindered by unreliable power supply. After all, stocking chilled cola bottles in local stores remains one of the most effective methods of attracting consumers.

According to Emkay Global Financial Services, multiple factors will sustain VBL's business through FY24 and likely into FY25. Over recent years, VBL has invested ₹3,000 crore in capacity expansion, aiming to further enhance sales. This investment is projected to increase production capacity by over 45% from its peak in 2022. "The beverage category is outperforming other FMCG categories on under-penetration and improved road and electricity infra. VBL has identified these tailwinds and has invested close to ₹3,000 crore for capacity expansion. Further, it is benefitting from new products at affordable price points," says Devanshu Bansal, Research Analyst at Emkay Global Financial Services. They estimate that by calendar year 2025, VBL's revenue could nearly double to touch ₹23,570 crore, while its profit after tax (PAT) could reach ₹3,350 crore.

Experts suggest that India's per capita consumption of colas remains among the lowest, indicating potential for a broader portfolio, including juices, value-added dairy, packaged water, and energy drinks. Despite expanding retail reach in recent years, VBL has only accessed about 3.5 million of the country's 12 million FMCG outlets. As India's per capita income rises, this gap presents an opportunity to increase consumption of branded packaged drinks over the next decade.

For Jaipuria, the dream run has just begun. **BT**

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➤ Young Energy

❶ VBL is responsible for bottling and distributing nearly the whole of PepsiCo India's beverage portfolio

❷ Under Jaipuria, VBL's market capitalisation has surged fourfold to ₹1.97 lakh crore (from January 1, 2022, to February 23, 2024)

❸ Jaipuria saw new opportunities in India's hinterlands

❹ Since 2019, VBL has added 13 new plants, taking the total number to 33. Three more are in the pipeline

Jaipuria recognised the untapped opportunities in rural areas, particularly with the enhanced road and electricity connectivity. It facilitated VBL's access to remote rural regions at reduced costs